

A SNAPSHOT OF CAPITAL GOODS FIRMS

> Capital goods firms have been clear outperformers on the back of factors such as higher government spending, digitalisation and electrification

> With government spending driving private capital expenditure as well, the industry's good run is expected to continue in the coming quarters

Company Name	2023/2022 Rank	Average Market Cap*	Total Income	PAT	ROE (%)	TTM P/E Multiple
Siemens	43/54	1,18,502 (35.9)	16,456 (21.99)	1,262 (22.54)	11.49	62.30
Hindustan Aeronautics	52/88	1,01,886 (85.6)	28,598 (11.69)	5,828 (14.72)	27.18	23.54
Bharat Electronics	65/86	80,954 (41.5)	18,108 (15.91)	2,940 (24.88)	22.49	32.14
ABB India	69/98	75,913 (52.4)	8,801 (23.21)	1,026 (92.61)	22.83	75.10

NOTE DATA AS OF NOVEMBER 17, 2023; *FROM OCTOBER 1, 2022, TO SEPTEMBER 30, 2023; TOTAL INCOME, PAT AND ROE FOR FY23; P/E: PRICE TO EARNINGS; AVG. MARKET CAP, TOTAL INCOME, AND PAT IN ₹ CRORE; FIGURES IN BRACKETS INDICATE CHANGE IN PER CENT YOY; RESULTS ARE ON A CONSOLIDATED BASIS; ABB FOLLOWS JANUARY-DECEMBER AS FINANCIAL YEAR, WHILE SIEMENS FOLLOWS OCTOBER-SEPTEMBER AS FINANCIAL YEAR **SOURCE** ACE EQUITY

adding that most of the future growth appears to be already priced in the current valuations.

THOSE TRACKING THE capital goods story are convinced that demand will continue to remain strong for a while. And it is not just one segment of the economy that is driving it, they say. For instance, Anwani lists out the development of metro projects across cities, the electrification and digitalisation opportunity across sectors, and the roll-out of 5G and BharatNet, as some of the factors spurring demand for capital goods. “The higher demand for capital goods is not being driven by conventional, but transformational capex,” he says. That also includes a segment like

railways—that now offers a better product mix comprising high-speed trains.

ABB’s Sharma concurs that the government’s capex has been a major catalyst for growth. “The railways’ electrification and metro expansion is a direct net positive [for the industry], while infrastructure spending and proactive industrial policies have benefitted multiple market segments, and expanded our customer base as well,” he says.

On the other hand, the public sector has contributed around 15-20 per cent of the new orders for Siemens in FY21 and FY22, says Mathur, adding that the government’s spending on public infrastructure is crucial for the industry to remain on a high growth path. “Private capex has followed government investments. We are now at the cusp of a new private

capex cycle, and investments are coming into new-age technologies such as semiconductors, fuel cells, batteries, data centres and hydrogen,” he adds.

For much of that to materialise, a key enabler will be the digitalisation drive that is required to achieve decarbonisation and sustainability targets, while pushing productivity and quality parameters. “Today, customers want to adopt energy efficiency and digitalisation measures for all this. It has led to an increase in the industrial digital business for most companies, and that is expected to continue,” says Mathur. ABB’s Sharma concurs. He reckons that digital capabilities can be leveraged to drive the productivity of each of his businesses. “Our operations and customers can take advantage of the data extracted